

US Treasury lacks political space to lower yields

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【メール原文】

The Treasury will struggle to hold down long-term yields with the recent norm-breaking measures, as Congress has no appetite for fiscal consolidation |||||

Daily Brief

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summary

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The Treasury will struggle to hold down long-term yields with the recent norm-breaking measures, as Congress has no appetite for fiscal consolidation and the Federal Reserve is moving in the opposite direction.

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China's reduced imports and emerging cross-regional trade flows will prevent near-term oil shortages.

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The US-Iran conflict will likely produce a deal to partially reopen the Strait of Hormuz by the end of the year.

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Campaign dynamics will be unusually decisive for Brazil's presidential race.

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Regions, countries, and sectors covered in this edition include the US, Brazil, Canada, China, India, Iran, Vietnam, Zambia, geoeconomics, and oil.

the top line

Geoeconomics—US lacks political space to follow through on commitment to low rates

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The Treasury will struggle to hold down long-term yields, as Congress has no appetite for fiscal consolidation and the Federal Reserve is moving in the opposite direction.

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Treasury's recent measures to manage rates commit little money and rely on signaling, making them unlikely to durably change market outcomes, while tying Treasury Secretary Scott Bessent personally to exchange rate and bond-market results he cannot fully control.

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A potential Federal Open Market Committee move to hike interest rates, combined with continued bond-market pressure, risks renewed tensions between the Fed and the administration.

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Read more here . Reach out to discuss: geoeconomics@eurasiagroup.net .

Oil—Fuel trading among high-demand regions will prevent near-term shortages

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China's reduced crude imports are freeing up supply for other regions, minimizing the likelihood of shortages over the next two months.

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Emerging cross-regional trade flows are also helping to meet regional needs, including European naphtha to Asia, Nigerian gasoline to Europe, and Chinese shipping fuel to Singapore.

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Still, declining Chinese crude stocks and low European middle-distillate inventories could tighten markets heading into winter.

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Read more here . Reach out to discuss: ecr@eurasiagroup.net .

MENA Crisis—US-Iran standoff will drag on as urgency for a deal falls

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The current standoff will likely produce a limited deal that partially reopens the Strait of Hormuz before the end of the year (55% odds), while the risk of escalation remains significant (25%) and a standoff that drags on indefinitely remains less likely (20%).

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With oil prices at an elevated but manageable level, US President Donald Trump has reverted to "maximum pressure," hoping that sanctions and a naval blockade will force Iran to capitulate.

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Yet Iran is unlikely to yield, despite its worsening economic outlook, and will continue to push for a deal that recognizes its control of the strait and includes additional financial incentives.

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Read more here . Reach out to discuss: MENA@eurasiagroup.net .

Chart of the Day: Canada, US—Sharp drop in Canada exports makes US deal more likely

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Trump's three-day postponement of new Section 338 tariffs on Canadian goods—which would have raised the US effective tariff rate on Canada from 6.9% to 7.4%—confirms our view that the tariffs are intended as negotiating leverage rather than a durable policy shift.

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Ottawa appears willing to accept a limited deal to avoid new tariffs as a stepping stone to a more comprehensive United States-Mexico-Canada Agreement and defense negotiations.

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A limited deal would probably involve the rollback of Canadian retaliatory measures and marginal dairy concessions, in exchange for some reductions in Section 232 tariffs on Canadian steel, aluminum, autos,

and lumber.

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Ottawa remains focused on securing relief from Section 232 tariffs, given that exports of autos, steel, and aluminum have dropped significantly since the tariffs were introduced, with significant negative consequences for affected Canadian sectors and regions.

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Read our 11 August note [here](#) . Reach out to discuss: geoeconomics@eurasiagroup.net .

Brazil—Campaign dynamics will be unusually decisive in Brazil's tight presidential race

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President Luiz Inacio Lula da Silva enters the official campaign as a modest favorite at 60%, but his polling lead over Senator Flavio Bolsonaro probably rests at 2-3 points after adjusting for likely voters.

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Because electoral forecasting models point in opposite directions, campaign execution — especially candidates' ability to align with key voter concerns — will matter more than in most Brazilian elections.

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Lula must chip away at widespread voter pessimism, while Bolsonaro must press a law-and-order message with a focus on social mobility, and third candidates must build name recognition quickly.

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Read more [here](#) . Reach out to discuss: brazilresearch@eurasiagroup.net .

Vietnam—Hanoi's privatization drive will be capped by political resistance

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General Secretary To Lam's plans for the partial privatization of state-owned enterprises are in line with aims to shift growth to the private sector, but party conservatives and vested interests will constrain both the pace and the scope of divestment.

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Vietnam's upgrade to emerging market status will bring foreign inflows, but excessive carve-outs and slow execution will dilute the intended market liberalization impact.

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Vietnam's largest and most liquid state banks—BIDV, Vietcombank, and VietinBank—are among companies excluded from the recent state capital classification framework, limiting the market impact of even an ambitious divestment program.

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Read more [here](#) . Reach out to discuss: southeastasia@eurasiagroup.net .

eg in depth

India—Conference call—India update: Prime Minister Narendra Modi's government remains stable; however, it faces the twin challenges of youth disaffection and its electoral coalition fraying along caste lines. In the short term, Modi's most significant reforms will be liberalizing the nuclear power sector, introducing market-based electricity pricing, and redrawing constituencies to give the ruling Bharatiya Janata Party an advantage in the 2029 general elections. India is pursuing closer ties with middle

powers such as the EU and Japan, while waiting out the US trade investigations before signing a free trade agreement with Washington. Read more here . Reach out to discuss: southasia@eurasiagroup.net .

China—Conference call—China's political and economic outlook: EG has downgraded the odds of a productive implementation of the Busan truce in 2026 to 70% from 80%. President Xi Jinping's Washington visit remains the basecase, but summit planning is described as poorly organized; deliverables will likely be limited to reaffirmations, purchase pledges, and a Busan truce extension. China's domestic economy has no credible near-term consumption recovery; housing won't bottom until 2030, and fiscal policy will be contractionary through 2029 as debt resolution takes priority over stimulus. Read more here . Reach out to discuss: china@eurasiagroup.net .

Zambia—Hichilema's decisive victory ensures policy continuity: President Hakainde Hichilema's roughly 23-point victory—confirmed on 18 August—will blunt opposition claims of election irregularities, allowing him to be sworn in for his second term in the coming weeks. The ruling party also secured a simple parliamentary majority, ensuring the new government's ability to secure approval for routine legislation like budgets as well as to sustain fiscal reform efforts. Hichilema will likely press ahead with policies to unlock mining investment and the power supply needed to support higher copper output, while increasing support for social and agricultural investments. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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19 August: Data: US releases July Fed meeting minutes.

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20 August: Data: Japan trade and foreign bond buying; Central bank decision: Sweden.

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21 August: Data: Eurozone, India, Japan, UK, and US manufacturing PMI, and Japan CPI.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Martina Silva, and Trista Kelley, with help from Astral Betteridge and Blaise Hanson.

closing quip

"[the US] will do whatever it takes to support [Japan] in a way that helps the American economy, the American taxpayer"—Bessent said on 4 August.

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